GLOUCESTER
ZAKAT FUND
CHARITY FOR LOCAL RESIDENTS

PARTNER SELECTION AND DUE DILIGENCE POLICY

Document Information	
Policy Name	Partner Selection and Due Diligence Policy
Version	1.0
Policy Owner	Board of Trustees
Approved by	Board of Trustees
Date Approved	01/02/2026
Next Review Date	01/02/2028
Related Policies	Due Diligence Policy, Anti-Money Laundering Policy, Conflict of Interest Policy, Grant-Making Policy, Safeguarding Policy

1. Introduction

Gloucester Zakat Charity ("the Charity") is a Charitable Incorporated Organisation established to prevent and relieve poverty and financial hardship in Gloucestershire and the wider United Kingdom, with a particular focus on members of the Muslim community. The Charity collects and distributes Zakat (obligatory Islamic almsgiving) and Sadaqah (voluntary charity) to eligible beneficiaries.

The Charity works with partner organisations to extend its reach and effectiveness in supporting people in need. These partners include registered charities, community organisations, mosques, and other bodies that help identify beneficiaries, verify eligibility, or deliver support on the Charity's behalf.

This policy sets out the Charity's approach to selecting partners and conducting due diligence to ensure that charitable funds are used appropriately and that partnerships do not expose the Charity to unacceptable risks.

2. Purpose

The purpose of this policy is to:

- Ensure the Charity works only with suitable and reputable partner organisations
- Protect charitable funds from misuse, fraud, or diversion
- Comply with the Charity Commission's requirements for due diligence on partners
- Prevent the Charity from being associated with money laundering, terrorist financing, or other criminal activity
- Protect the Charity's reputation
- Ensure partners can appropriately identify Zakat-eligible beneficiaries where relevant
- Provide clear guidance for trustees on partner selection and approval
- Establish a proportionate, risk-based approach to due diligence

3. Scope

This policy applies to all partner organisations that the Charity works with, including:

- **Referral partners:** Organisations that refer potential beneficiaries to the Charity (e.g., refugee support organisations, advice centres, mosques)
- **Delivery partners:** Organisations that help deliver support to beneficiaries on the Charity's behalf
- **Grant recipients:** Organisations to which the Charity makes grants for onward distribution or specific projects
- **Collection partners:** Mosques or other organisations that collect donations on the Charity's behalf
- **Verification partners:** Organisations that help verify beneficiary eligibility or circumstances

The Charity currently operates within the United Kingdom only. This policy is therefore focused on UK-based partner organisations.

4. Types of Partners

The Charity typically works with the following types of partner organisations:

4.1 UK Registered Charities

Charities registered with the Charity Commission for England and Wales (or equivalent regulators in Scotland or Northern Ireland). These partners have existing regulatory oversight and accountability requirements.

4.2 Community Organisations

Unregistered community groups, associations, or organisations that are not registered charities but work within the community to support people in need. These require additional due diligence as they lack external regulatory oversight.

4.3 Mosques and Religious Institutions

Mosques and other religious institutions that may collect donations on the Charity's behalf or refer beneficiaries. Many are registered charities; some may be unregistered.

4.4 Professional and Statutory Bodies

Organisations such as Citizens Advice, social services, housing associations, or NHS bodies that may refer beneficiaries or verify circumstances. These typically require minimal additional due diligence given their statutory oversight.

5. Trustee Duties

The trustees have legal duties that underpin this policy:

- To act in the best interests of the Charity
- To exercise reasonable care and skill
- To ensure charitable funds are used properly, lawfully, and in furtherance of the Charity's objects
- To maintain control over charitable funds, even when working through partners
- To avoid activities that might place the Charity's funds, assets, or reputation at undue risk
- To carry out adequate due diligence on partners and monitor the use of funds

Even where the Charity passes funds to another charity, the trustees retain responsibility for ensuring due diligence is conducted and funds are used appropriately.

6. Due Diligence Principles

6.1 Risk-Based Approach

The Charity adopts a risk-based, proportionate approach to due diligence. The greater the risk, the more thorough the due diligence required. Due diligence is not simply a tick-box exercise; it requires analysis, judgement, and decision-making.

6.2 'Know Your Partner' Principles

The Charity's approach to due diligence is based on the Charity Commission's 'Know Your Partner' principles:

- **Identify:** Know who you are dealing with – the organisation's legal identity, structure, and key people

- **Verify:** Check and confirm the information provided, particularly for higher-risk partnerships
- **Know their business:** Understand what the partner does and whether it is appropriate for the Charity to work with them
- **Know their business with you:** Understand specifically what the partner will do for or with the Charity and have confidence they can deliver
- **Watch out:** Be alert for unusual or suspicious activities, conduct, requests, or reports

6.3 Due Diligence Objectives

Due diligence on partners should ensure:

- The legal identity of the partner is established
- The partner is not involved with criminal, extremist, or terrorist activities
- The partner has a track record of delivery (where relevant)
- Funds will be used for the intended charitable purposes
- Funds will not be used for money laundering, terrorist financing, or bribery
- For Zakat distribution, the partner can appropriately identify Zakat-eligible beneficiaries
- The partnership will not expose the Charity to unacceptable reputational risk

7. Risk Assessment

7.1 Risk Factors

The level of due diligence required depends on the risk profile of the partnership. Risk factors include:

- **Value of funds:** Larger grants or funding arrangements require more thorough due diligence
- **Nature of partnership:** Partners handling cash or distributing funds to beneficiaries present higher risk than referral-only partners
- **Regulatory status:** Registered charities with regulatory oversight present lower risk than unregistered organisations
- **Track record:** New partners require more thorough due diligence than established partners with a proven track record
- **Complexity:** Complex arrangements or those involving multiple parties require additional scrutiny
- **Reputational factors:** Partners in sensitive areas or with controversial associations require careful consideration

7.2 Risk Levels

The Charity categorises partnerships into three risk levels:

Risk Level	Typical Partners	Due Diligence Level
Lower	Statutory bodies (e.g., NHS, local authority); large established UK charities; referral-only partners	Basic checks; confirm identity and registration
Standard	UK registered charities with which the Charity has no prior relationship; mosques collecting donations	Full due diligence checklist; verify key information
Higher	Unregistered organisations; partners handling significant funds; new partners with limited track record	Enhanced due diligence; additional verification; may require references

8. Due Diligence Information

8.1 Information to Obtain

The following information should be obtained from potential partners (proportionate to risk level):

- Full legal name of the organisation
- Registered address and operating address
- Charity registration number (if applicable) or company registration number
- Governing document (constitution, articles, etc.)
- Names of trustees, directors, or management committee members
- Name and contact details of main contact person
- Bank account details (account name and number to which any funds would be paid)
- Latest annual accounts or financial statement (if available)
- Description of activities and track record
- Details of relevant policies (safeguarding, data protection, etc.)

8.2 Declarations Required

Partners should be asked to provide declarations confirming:

- No trustees, staff, or key volunteers have relevant criminal convictions (particularly relating to financial crimes, extremism, or terrorism)
- The organisation is not subject to any Charity Commission investigation or regulatory action
- There are no restrictions on the organisation's banking activities
- Any conflicts of interest with the Charity or its trustees have been disclosed
- They will notify the Charity immediately if any of these circumstances change

8.3 Verification

Information provided should be verified where appropriate. This may include:

- Checking the Charity Commission register to confirm registration details
- Reviewing publicly available accounts and annual reports
- Confirming bank account details match the organisation's name
- Visiting the partner's premises (for higher-risk partnerships)
- Seeking references from other organisations that have worked with the partner
- Conducting internet searches for any adverse information

9. Approval Process

9.1 Procedure

The following steps should be followed when establishing a new partnership:

- **Step 1:** Identify potential partner and proposed nature of partnership
- **Step 2:** Assess the risk level of the partnership
- **Step 3:** Collect due diligence information and declarations
- **Step 4:** Verify information (proportionate to risk level)
- **Step 5:** Complete risk assessment and prepare partner report
- **Step 6:** Present to Board of Trustees for approval
- **Step 7:** If approved, prepare and sign partnership agreement
- **Step 8:** Commence partnership (no funds transferred until process complete)

9.2 Board Approval

All decisions on whether to approve a partnership rest with the Board of Trustees. The Board will sign off on all partnership decisions, considering the due diligence findings and risk assessment.

9.3 Conflicts of Interest

Where trustees have a conflict of interest in relation to a potential partner (for example, if a trustee is also involved with the partner organisation), they must declare the conflict and may be excluded from the decision-making process. In cases of significant conflict, the trustees may seek independent advice.

10. Partnership Agreements

A formal written agreement should be in place for all partnerships involving the transfer of funds or significant collaborative working. The agreement should specify:

- The purpose and scope of the partnership
- The expected outcomes and deliverables
- The amount and timing of any funding
- The bank account to which funds will be paid
- Reporting and monitoring requirements
- Required standards and policies (e.g., safeguarding, data protection)
- Circumstances in which the agreement can be terminated
- Arrangements for return of unused funds
- Requirement to notify of any material changes

For simple referral partnerships, a less formal arrangement may be appropriate, but the key terms of the relationship should still be documented.

11. Ongoing Monitoring

11.1 Monitoring Requirements

Once a partnership is established, ongoing monitoring is required to ensure funds are used appropriately and the partnership remains suitable. Monitoring should include:

- Regular reports from partners on activities and expenditure
- Review of evidence of how funds have been used
- Verification that funds have reached intended beneficiaries
- Awareness of any changes in the partner's circumstances
- Prompt investigation of any concerns or irregularities

11.2 Reporting Frequency

For partners receiving significant funds, reports should be required at least quarterly. For lower-risk partnerships, annual reporting may be sufficient. The frequency should be proportionate to the level of funding and risk.

11.3 Due Diligence Refresh

Due diligence does not last indefinitely. For ongoing partnerships, due diligence should be refreshed:

- At least every two years
- When there is a significant change in the partner's circumstances
- When the nature or scale of the partnership changes materially
- If any concerns arise about the partner

12. Record Keeping

A file (electronic or paper) should be maintained for each partner. This should contain:

- All due diligence documentation
- Risk assessment and approval decision
- Partnership agreement
- Monitoring reports
- Evidence of fund usage
- Correspondence
- Records of any concerns and how they were addressed

Partner files should be reviewed at least annually and retained for six years after the partnership ends.

13. Concerns and Issues

If concerns arise about a partner (for example, funds not being used appropriately, safeguarding issues, or adverse information coming to light), the trustees should:

- Investigate the concerns promptly
- Consider suspending further payments pending investigation
- Document findings and decisions
- Take appropriate action, which may include terminating the partnership
- Consider whether to report to the Charity Commission or other authorities
- Seek to recover funds if they have been misused

14. Review

This policy will be reviewed by the Board of Trustees every two years, or sooner if:

- There are changes to Charity Commission guidance
- Issues arise with partner due diligence or monitoring
- The nature of the Charity's partnerships changes significantly
- The trustees identify a need for change

15. Related Policies and Guidance

Related Charity Policies:

- Due Diligence Policy (for beneficiaries and donors)
- Anti-Money Laundering Policy
- Conflict of Interest Policy
- Grant-Making Policy
- Safeguarding Policy

External Guidance:

- Charity Commission – Compliance Toolkit Chapter 2: Due Diligence, Monitoring and Verifying the End Use of Charitable Funds
- Charity Commission – Protecting Charities from Harm
- Charity Commission – CC8: Internal Financial Controls for Charities

16. Approval and Version History

Version	Date	Approved By	Changes
1.0	01/02/2026	Board of Trustees	Initial policy

17. Trustee Declaration

We, the undersigned trustees of Gloucester Zakat Charity, confirm that we have read, understood, and approved this Partner Selection and Due Diligence Policy and commit to its implementation.

Name	Role	Signature	Date
Mr Abdullah Abdul Samad Patel	Chair	A. Patel	01/02/2026
Mr Kamel Boulkenafet	Trustee	K. Boulkenafet	01/02/2026
Mr Hashim Moolla	Trustee	H. Moolla	01/02/2026
Mr Farouq Ginwalla	Trustee	F. Ginwalla	01/02/2026
Ms Mariam Qureshi	Trustee	M. Qureshi	01/02/2026

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